

DECEMBER 2025

USDUC INVESTMENT THESIS

MAPPING THE EMERGENCE OF A
CULTURAL MONETARY ASSET

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In collaboration with
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The Hidden Fragility of Stablecoins

Stablecoins are being framed as one of the defining breakthroughs in financial infrastructure: **the future settlement layer of a global digital economy and crypto's bridge to mass adoption.**

But their accelerating growth reveals a **far more fragile reality.**

Three Structural Sources of Stablecoin Fragility

01

Reserve Dependence

Reserves anchored to U.S. Treasuries create rate-sensitive fragility.

→ Systemic Contagion

02

Issuer Concentration

Monetary base controlled by a small number of private issuers.

→ Censorship & Control Risk

03

Geopolitical Exposure

Onchain money inherits U.S. policy, regulatory, and geopolitical risks.

→ Policy & Geopolitical Shock Exposure

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1. Structural Dependence on U.S. Treasuries

Stablecoins are now among the largest non-sovereign buyers of short-term U.S. debt globally. This anchors the entire onchain economy to the **interest-rate policy, debt sustainability, and liquidity conditions of a single nation-state.**

Consequences:

- Yield shifts trigger redemption stress
- Redemptions force issuers to unwind Treasuries into volatile markets
- Peg stability weakens under pressure
- Treasury-market shocks cascade into global and onchain markets

A system meant to be decentralized is anchored to U.S. fiscal dynamics.

2. Issuer Concentration & Censorship Risk

Two issuers – Tether and Circle – control **97% of the stablecoin supply**, giving a small number of entities control over the monetary base of the onchain economy.

This enables:

- Single-point operational failures
- Regulatory pressure and surveillance
- Freeze / blacklist controls across networks
- Counterparty and governance risk through centralized custody

Permissionless systems now run on permissioned money.

3. The Geopolitical Reality

Stablecoins increasingly function as **strategic extensions of U.S. monetary policy**. As federal debt grows and foreign Treasury demand weakens, stablecoins have become structural buyers of U.S. debt, reinforcing dollar liquidity and exporting U.S. fiscal risk globally.

This growing dependence brings stablecoins deeper under U.S. regulatory and policy influence, pushing the architecture toward a **de facto, privately-operated CBDC**.

Crypto shifts from an alternative, decentralized system to a **centralized distribution layer for the dollar**.

The Emerging Problem

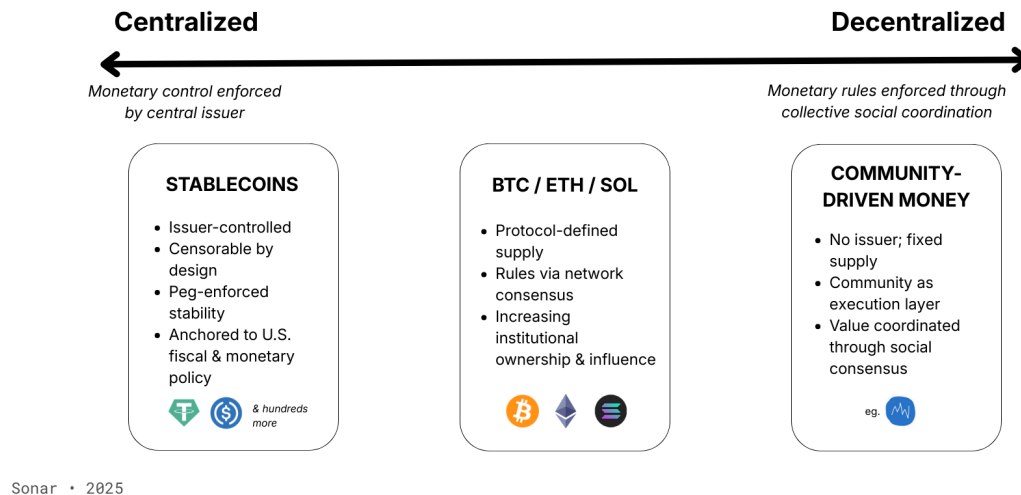
Stablecoins solved for liquidity and usability, but they **imported the constraints of the legacy system** onto new rails. This is not the end state of onchain money, only a transitional one. Markets are already signalling the need for what comes next.

The Next Phase of Onchain Money

The next monetary primitive will not be defined by engineered stability. It will be defined by **resilience, broad distribution, and community-driven sovereignty**; by financial systems built to *absorb* volatility rather than resist it.

USDUC: A New Monetary Primitive for a Permissionless Economy

Spectrum of Monetary Control in Onchain Assets



USDUC (Unstable Coin) is a direct response to the limits of the stablecoin model: a **memetic instrument** built for systemic fragility, where community coordination becomes a real economic force.

USDUC is designed for:

- A world where trust is decentralized
- A market where volatility is structural
- An onchain economy where value systems emerge through collective coordination

Bitcoin established **sovereign digital money**.

Stablecoins made onchain money **usable and globally accessible**.

USDUC introduces a new monetary primitive built on coordinated capital formation.

USDUC Investment Thesis

Executive Overview

Unstable Coin (USDUC) is an emerging **memetic blue-chip asset** positioned at the intersection of accelerating stablecoin adoption and rising awareness of systemic instability across global financial infrastructure. It represents a liquid instrument for expressing the macro view that “stability” in dollar-denominated systems is increasingly fragile, and that *volatility* reflects economic truth more honestly than a manufactured peg.

USDUC has rapidly demonstrated meaningful market traction and institutional credibility, unusual for an asset at its lifecycle stage. This includes a Tier-1 Kraken listing, integrations across multiple ecosystems, and accelerating onchain adoption driven by a broad, high-conviction holder base. Its emergence aligns with a growing shift away from VC-engineered token launches toward fairly distributed, community-driven assets, reflecting a return to crypto’s original grassroots ethos where value and ownership are built from the bottom-up, rather than extracted from the top-down.

USDUC’s growth has been driven by experienced operators and builders, alongside a self-mobilizing community that functions as an active execution layer – establishing a new playbook for how decentralized community-driven assets can organize at scale. USDUC is a culturally coordinated asset built around a single unifying mission: **to expose the illusion of stability and build an alternative dollar narrative designed for systemic instability**, where shared conviction acts as a compounding coordination engine.

This report provides the macro context driving the opportunity, examining USDUC’s traction and market structure through onchain metrics. It also outlines the **Unstable Finance** layer – a volatility-native DeFi ecosystem anchored by Chainlink’s Cross-Chain Token standard. This positions USDUC as an oracle-ready asset live across Solana, Base, Ethereum, and HyperEVM, with broader multi-chain expansion underway. In doing so, it transforms cultural momentum into real financial infrastructure.

To understand USDUC’s opportunity, we begin with the macro landscape behind it: the stablecoin adoption wave and the structural fragility embedded within today’s settlement layer.

1. The Structural Expansion of Stablecoins & Systemic Instability

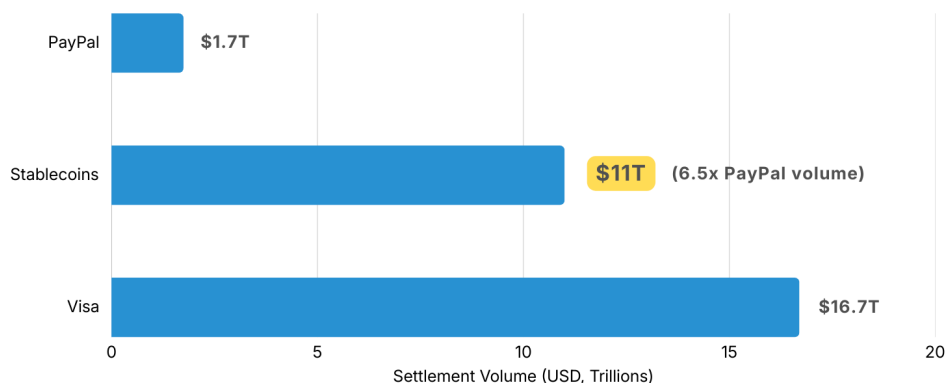
1.1 Explosion of Stablecoin Demand

Stablecoins are rapidly becoming the primary rail for global dollar settlement, displacing legacy banking systems as payments, capital flows, and financial services move onchain. In 2025, stablecoins transitioned from being a crypto-native tool to a mainstream settlement layer, now recognized as the cheapest and most efficient way to move dollars anywhere in the world.

Stablecoin settlement volumes reached **\$46.2 trillion** in November 2025, a 112% year-over-year increase on an unadjusted basis (counting all onchain transactions and internal exchange flows) – a scale that now rivals traditional payment infrastructure. Even after filtering out non-organic activity, adjusted stablecoin volume still totalled **~\$11 trillion**, far exceeding PayPal's \$1.7 trillion and approaching Visa's \$16.7+ trillion in settlement throughput over the same period. Critically, this growth has been uncorrelated with broader crypto market cycles, reflecting organic adoption, genuine economic demand, and clear product-market fit rather than speculative trading behavior.

Transaction Volume: Stablecoins vs. Legacy Payment Rails

Transaction Volume (Most Recent 12-Month Period)

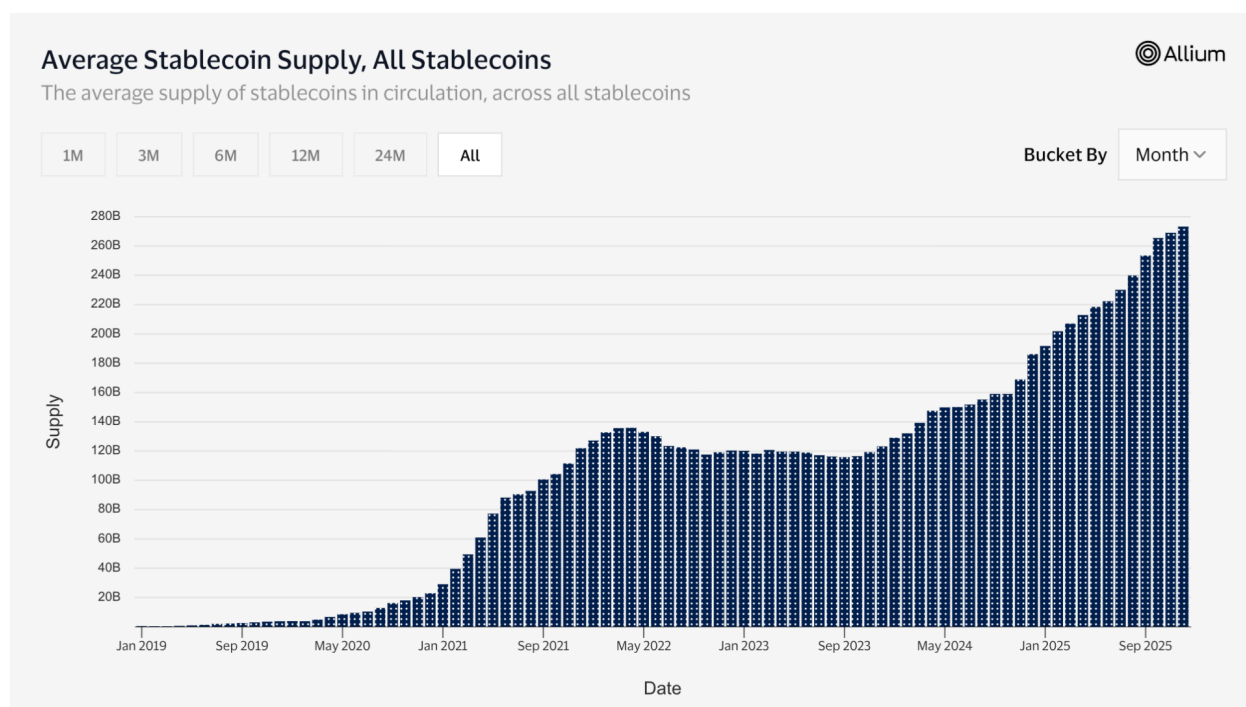


Sources: Visa (FY Q3 ending 30 Sep 2025), PayPal (trailing twelve months), Allium stablecoin data (as of 30 Nov 2025) | Note: Adjusted volume filters out non-organic activity (e.g. bots, high-frequency trading, and internal exchange flows) to reflect real economic usage.

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The passing of the GENIUS Act in July 2025 marked a critical inflection point – providing explicit U.S. regulatory support for stablecoin frameworks and signaling their strategic importance in maintaining dollar dominance in a multipolar monetary environment. As foreign central banks reduce direct U.S. Treasury exposure, stablecoins have emerged as an alternative mechanism supporting Treasury demand, effectively functioning as synthetic U.S. debt wrappers.

As of November 2025, the total supply of stablecoins has expanded to **\$272.4B**, up from \$181.7B just one year ago, demonstrating a ~50% increase year-over-year. This growth has been driven not by speculative cycles, but by real economic utility and institutional participation. Projections indicate that stablecoin supply is on track to grow more than 10x to over **\$3 trillion by 2030**, representing one of the largest monetary transitions in modern financial history.

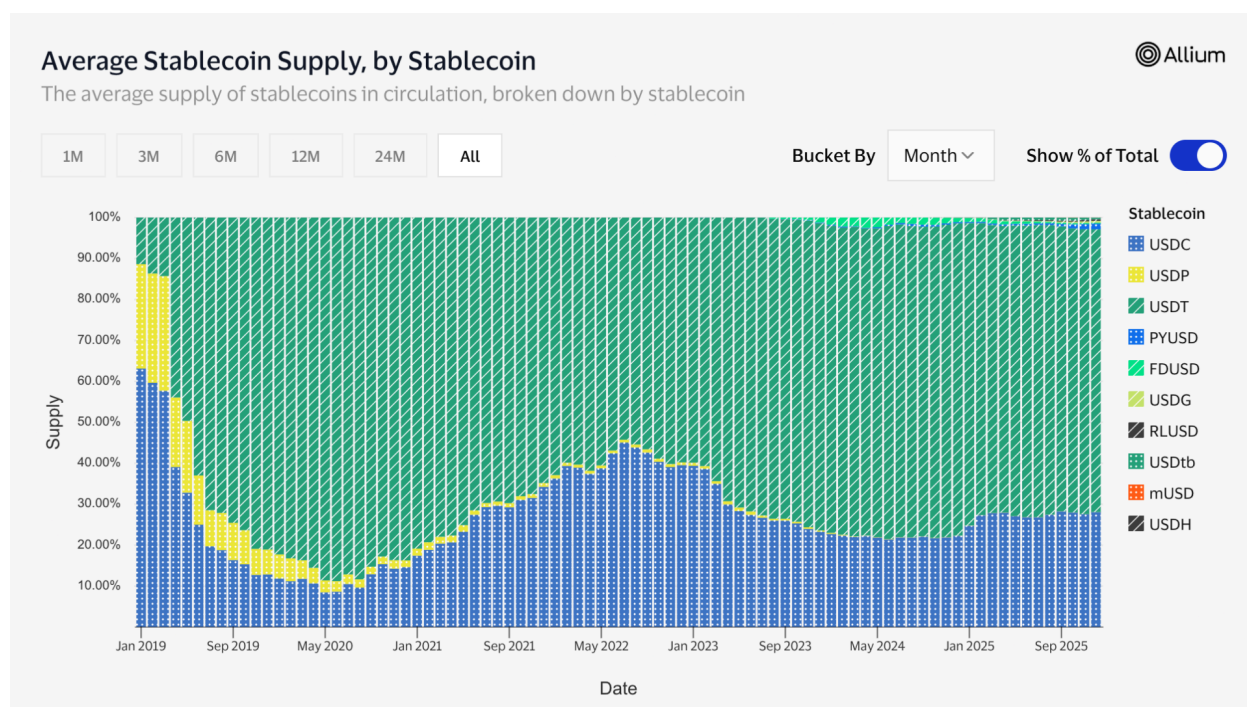


This trajectory represents a multi-cycle transformation of global financial infrastructure, not a passing trend. As traditional financial rails converge with onchain architecture, stablecoins are becoming the backbone of global economic activity and a key mechanism for absorbing U.S. debt, reinforcing dollar dominance while enabling borderless settlement.

In effect, stablecoins are becoming the **operating system for global dollar liquidity**, serving as the settlement layer underpinning both traditional and decentralized markets.

1.2 Hidden Systemic Risk

The same dynamics that have accelerated stablecoin growth: ease of use, trust in issuers, and a frictionless user experience have also created a new layer of systemic risk. As of November 2025, the market remains overwhelmingly concentrated in two issuers: Tether's USDT and Circle's USDC. Together they account for **97% of the entire stablecoin supply**, with USDT alone controlling **69.5%** of the market and over \$187.2B in circulation.



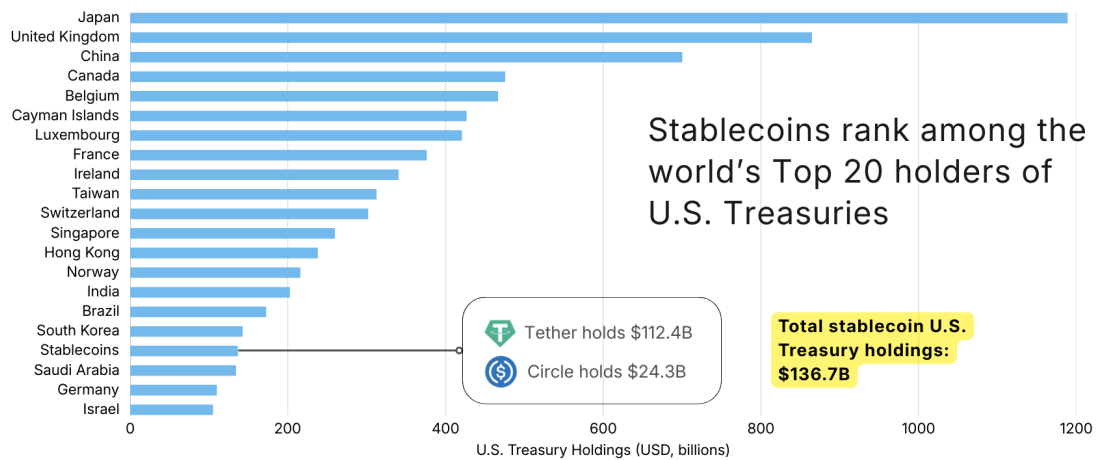
A further source of systemic fragility sits in the reserves backing the settlement layer itself. USDT's public disclosures show that ~77% of its assets are held as cash, cash-equivalents and other short-term deposits, of which ~80% is in U.S. Treasury bills. What appears to be a safe, liquid backing is, in reality, deeply tethered to interest-rate sensitivity and redemption-driven liquidity risk. In a stress event such as mass redemptions or rapid shifts in yield, these holdings could trigger forced selling of "safe" assets, amplifying volatility across markets and becoming a transmission channel for systemic contagion.

This risk materialized during the Silicon Valley Bank collapse in March 2023, when uncertainty over the recoverability of \$3.3B in Circle's USDC reserves held with SVB triggered a redemption-driven liquidity shock that de-pegged USDC to \$0.87.

This vulnerability expands materially as stablecoins scale in both size and systemic importance.

As stablecoins scale into a primary settlement layer, their reserve structures have positioned issuers as a meaningful new class of U.S. Treasury holders. Aggregate stablecoin reserves now place issuers among the world's **top 20 holders of U.S. Treasuries**, comparable in scale to sovereign allocations by mid-sized countries. This tightens the link between onchain dollar liquidity, Treasury markets, and global funding conditions.

Stablecoins as a New Class of U.S. Treasury Holders



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Sources: U.S. Department of the Treasury, Tether, Circle (all data correct as of 30 Sep 2025)

This means that the infrastructure powering the onchain economy is not neutral, decentralized, or trustless. It is censorable, permissioned, and structurally exposed to single points of failure. Issuers control reserves and redemption flows, and they have the unilateral ability to freeze addresses, blacklist counterparties, or halt movement entirely.

We have already watched the notion of stability break in real-time. Repeated de-peg events across different issuers and models have revealed structural weaknesses beneath the surface.

<i>Date</i>	<i>Stablecoin</i>	<i>Lowest Price / % Depeg</i>	<i>Cause</i>	<i>Impact & Recovery</i>
May 2022	TerraUSD (UST)	\$0.01 (-99%)	Algorithmic peg collapse triggered by Curve liquidity imbalance & Anchor withdrawals; hyperinflation of LUNA failed to defend peg.	\$40B ecosystem collapse, broad contagion, no recovery; led to global scrutiny and regulation of algorithmic stables.
March 2023	USDC (Circle)	\$0.87 (-13%)	\$3.3B of reserves trapped at failing Silicon Valley Bank, triggering widespread redemption panic.	Temporary loss of confidence across DeFi; recovered after government intervention & liquidity backstop.

November 2025	Staked Stream USD (xUSD)	\$0.05 (-95%)	\$93M leveraged fund loss & Balancer protocol oracle failure during forced unwinds.	Triggered cascading liquidity failures; remains unrecovered with withdrawals suspended and no clear repayment timeline.
November 2025	USDx (Stables Labs)	\$0.04 (-96%)	Liquidity cascade from Balancer exploit and xUSD collapse: crash triggered by mass redemptions and forced liquidations.	Heightened scrutiny on synthetic stablecoin risks. Phased recovery plan in place but with no guarantees.
November 2025	deUSD (Elixir)	\$0 (-99%)	65% reserve exposure to xUSD; redemption freeze created liquidity black hole.	\$75M trapped in Stream Finance. Elixir has shut down deUSD.
November 2025	YU (Yala Protocol)	\$0.1 (-90%)	Thin EVM liquidity, mass withdrawals and lingering distrust from September bridge exploit alongside contagion from xUSD/USDx failures.	Increased caution in BTC-backed stables. Yala secured reserves and plans formal recovery.

This is not an exhaustive list. These events represent only a subset of recent failures but clearly illustrate the fragility embedded in the current stablecoin landscape.

These de-peg events reveal a fundamental truth: stability is not guaranteed by reserves or collateral structure, but by confidence. And when confidence breaks, the system becomes vulnerable to cascade failure, as we've witnessed in the examples shared above.

1.3 The Cultural Parallel

Money is, at its core, a **belief system**, where value is sustained by collective confidence. As economic realities shift, especially for younger generations facing rising unemployment, the impact of AI, and diminishing paths to wealth creation, instability has become a dominant cultural narrative.

Recent cracks have shown that stability is a narrative that breaks under pressure. By contrast, volatility expresses truth. It reflects real conditions, real risk, and real emotional alignment.

In an environment where structural weaknesses are surfacing across traditional financial systems, assets that acknowledge instability rather than hide it are becoming culturally and financially resonant.

Introducing Unstable Coin (USDUC)

Against this backdrop, Unstable Coin (USDUC) emerged as a **counter-thesis to the stablecoin paradigm**. Stablecoins promise trust yet remain centralized, censorable, and structurally fragile – assets that can be frozen or depegged under market or regulatory stress. USDUC exposes this illusion of “stability” and instead embraces volatility, reframing instability as the more honest reflection of modern markets and the current monetary environment.

Socially-coordinated assets like USDUC combine cultural narrative power with onchain capital formation, positioning them as liquid instruments for expressing macro views and capturing multi-cycle growth. Unlike short-lived memecoins built around hype cycles, memetic blue-chip assets attract a broad, conviction-driven holder base, sustained builder activity, and growing institutional attention. These dynamics allow them to compound into long-term, cycle-resilient assets, positioning USDUC as an early institutional-scale contender in this emerging category.

2. USDUC Origin & Team

From the strength of the underlying thesis, an organically assembled team of highly experienced operators and builders came together, aligned on a shared macro vision and an immediate recognition of the magnitude of the opportunity USDUC represents. The concentration of proven execution and domain expertise this early in a project’s life cycle is **exceptionally rare**. Team members bring prior experience scaling projects to **\$2B+ valuations** and building at the frontier of community-driven memetic assets.

Together, they form the core team responsible for shaping USDUC’s strategy, execution, and long-term value creation.

- **Cuppy** – Former POPCAT lead with experience scaling memetic assets to multi-billion-dollar valuations; drives community growth and ecosystem alignment across Solana.
- **Yugong** – Crypto marketing operator since 2017; specializes in building conviction-driven communities and culturally aligned growth.
- **Han** – Builder and crypto marketer since 2015; leads technical integrations, ecosystem partnerships and external communications.

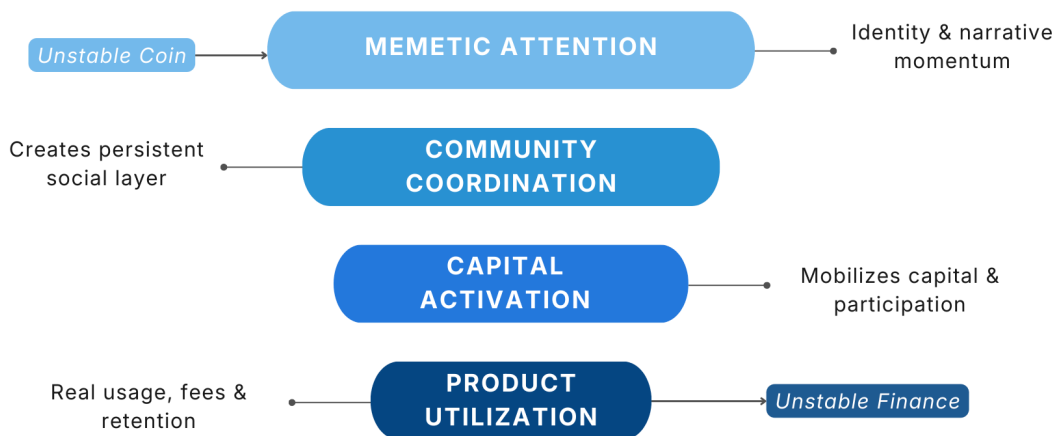
- **LateDev** – Engineering lead overseeing protocol and product development; brings extensive experience building production-grade systems, and is currently building feels.fun, a new DeFi protocol.

A wider, stealth network of **high-calibre contributors** supports the core team, adding depth across strategic, operational, and ecosystem execution.

3. Unstable Finance – First Mover in Memetic DeFi

Unstable Finance is the developing **DeFi layer** built around USDUC’s core thesis of embracing volatility. Instead of optimizing for peg stability like conventional stablecoins, Unstable Finance treats **volatility as a structured financial primitive** and the foundation for an entirely new class of onchain instruments. Its goal is to convert community alignment into volatility-based DeFi products, strengthening the Unstable thesis with tangible economic mechanisms that reinforce USDUC’s memetic power and long-term sustainability.

From Memetic Attention to Economic Utility



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Development focuses on enabling liquidity structures and mechanisms that can harness instability, unlocking avenues for strategies and integrations that traditional stablecoin models cannot support. This represents the early trajectory of an ecosystem designed to reframe instability as a programmable financial primitive at the core of onchain markets.

Foundations for this layer are already being established, including integrations that enable USDUC to interface with existing DeFi infrastructure:

Foundational integrations already live:

- **Chainlink Cross-Chain Token (CCT) via CCIP** – USDUC has upgraded to the Chainlink interoperability standard, enabling secure, seamless cross-chain movement across HyperEVM and Solana.
This makes USDUC easier to bridge and integrate across ecosystems using robust, industry-standard infrastructure.
- **Chainlink Data Streams integration** – providing highly secure, sub-second market data to support reliability-dependent DeFi markets built on USDUC.
This supports latency-sensitive DeFi products (e.g. perp markets, volatility products) that require fast, reliable price updates to function safely.
- **Custom cross-chain bridge (deBridge)** – enabling direct USDC → USDUC conversion across 25+ blockchains, expanding access to cross-chain liquidity.
This significantly reduces friction for new capital to enter USDUC, deepening liquidity and improving access from multiple ecosystems.

Together, these integrations position USDUC as an **oracle-ready, cross-chain-native asset** with the underlying infrastructure required for sophisticated volatility-based DeFi products and future liquidity expansion.

4. Traction & Market Validation

USDUC has shown meaningful traction across onchain adoption, liquidity strength and institutional recognition – signalling capital-market fit and the formation of a structurally strong liquidity foundation. This section aims to illustrate that the narrative is converting into committed long-term ownership rather than rotational speculative flows, with early indications of growing institutional attention.

4.1 Exchange & Institutional Signals

USDUC has secured external validation that reinforces its institutional credibility and broadens ecosystem visibility. Engagement now spans both retail users and capital allocators. Community-driven distribution is pulling in retail flow, while exchange, ecosystem, and fund recognition anchors institutional participation.

- **Kraken listing** – Kraken is widely regarded as one of the most conservative U.S.-regulated exchanges, with stringent internal review standards around token structure, distribution, and regulatory risk. This listing provides **early Tier-1 validation** and improves access for institutional and compliant participants.

- **EU regulatory readiness (MiCA)** – USDUC has completed MiCA-related EU compliance work, supporting eligibility for listings across regulated European venues and expanding access through EU-compliant distribution channels.
- **Pump Fun ecosystem recognition** – Regularly included in Pump Fun ecosystem banners and social channels, with ongoing interaction between USDUC and the Pump Fun team. Out of ~13M tokens launched on the platform, USDUC is one of 50 tokens to have sustained a market cap above \$5M, underpinned by a clear macro thesis, experienced team execution and a highly coordinated community base.
- **Base app distribution** – Listed on the Base app (recently rebranded from Coinbase Wallet, with ~120M existing accounts), ensuring native discoverability and frictionless access for users already integrated into the Coinbase/Base ecosystem.
- **Early participation from sophisticated capital** – Public support from thesis-driven funds, such as Vikara Capital, reinforces the project’s credibility and signals growing institutional recognition of USDUC’s opportunity.

4.2 Onchain Traction & Data

Onchain activity reflects substantive adoption and long-term ownership behavior. For fair launch assets such as USDUC, the **persistence and quality of capital** are the primary determinants of sustainability and trajectory. These signals provide behavioral evidence that capital is forming around USDUC with structural strength.

Metrics Snapshot – Onchain Adoption & Liquidity

The following data points quantify the formation of long-term aligned capital and a more efficient liquidity structure around USDUC.

1. Conviction & Growth

<i>Metric</i>	<i>Data</i>	<i>Insight</i>	<i>Why It Matters</i>
Holder Growth (90d)	9460 → 15,387 (+63%)	Holder base expansion of 63% over 90 days shows that the narrative is consistently onboarding new participants.	A broader holder base improves distribution quality and deepens liquidity, strengthening market resilience as USDUC scales.
Base ecosystem adoption	2,760 holders on Base (~18% of total) within ~3 months of the Base pair going live	Accelerating adoption through the Base/Coinbase ecosystem demonstrates product-market fit in	Expands accessibility to retail and institutional participants, improving distribution and

		compliant onramps.	increases addressable capital base.
Top 100 holding duration & supply share	Top 100 hold 67.23% with 79-day average duration	Largest holders demonstrate sustained conviction through long holding periods, not rotational flow.	Supports market stability and lowers reflexive sell pressure as position sizes increase.
Long-Term Holder Supply (>90d)	25.4% → 34.2% over last 60 days (+34.5% growth), through a -90% retrace	Long-term supply expanded through extreme volatility, indicating holders strengthened rather than exited positions, even under pressure.	Growing long-term ownership compounds alignment and reduces float, building the structural base required for multi-cycle durability.
Drawdown Resilience	Measured over the last 14 days following a -90% retrace from the early-October local high: - Top buyers accumulated 172.6M net new tokens — 122.4M from existing holders and 50.2M from new entrants	Active accumulation at the lows signals informed conviction and strengthening demand-side depth.	Persistent buying during extreme volatility reduces structural fragility and establishes conditions for institutional-grade liquidity participation.

Takeaway: USDUC's holder base is broadening, long-term supply is growing through volatility, and smart capital is accumulating post-capitulation, signalling a strengthening ownership base.

2. Supply & Distribution

Metric	Data	Insight	Why It Matters
Supply concentration	2.6% of supply	No single wallet controls a disproportionate share.	Reduces concentration risk and lowers the probability of destabilizing sell-events.
Top 10 non-exchange wallets	~17% of supply	Ownership is broadly distributed with no	Improves liquidity stability for larger

		dominant cluster.	capital movement and reduces single-point fragility.
Team & Insider Allocation	0% pre-allocated; team and core contributors bought positions on the open market	Team incentives align with all other holders.	Removes unlock-overhang risk and reinforces fairness and decentralization of supply.

Takeaway: USDUC's supply is broadly distributed with no dominant holders, reducing single-holder fragility and creating a stronger base for institutional participation.

3. Liquidity & Volume

<i>Metric</i>	<i>Data</i>	<i>Insight</i>	<i>Why It Matters</i>
Liquidity / Market Cap %	14% DEX liquidity: 740K FDV: 5.3M	Liquidity is notably deep relative to size, supporting clean execution for meaningful position sizing.	Higher liquidity efficiency reduces exit fragility and enables larger capital to scale positions without destabilizing price.
Trading Volume Persistence	\$1.2M average daily volume over a 2-month period (28 Sep–28 Nov)	Consistent average volume reflects ongoing demand and active participation beyond early launch phase.	Persistent activity signals a resilient market structure capable of absorbing increased demand.

Takeaway: Robust liquidity and sustained volume demonstrate a resilient market structure, capable of supporting larger capital entering and scaling positions efficiently.

Methodology (Onchain Adoption & Liquidity):

All USDUC metrics in this section are based on Sonar's analysis of onchain data as of 30 Nov 2025.

Holder and long-term supply metrics come from Holderscan; supply concentration from Bubblemaps; liquidity and volume from aggregated DEX/CEX data. "Long-term holders (>90d)" refers to addresses that have held a net-long position for more than 90 days without fully exiting.

5. Revenue Model & Token Value Accrual

USDUC's value capture today is anchored in real revenue and an alignment-focused treasury strategy, with future upside unlocked as the Unstable Finance layer matures.

5.1 Current Revenue Drivers

Creator Fee Model (Pump.fun Integration)

USDUC generates recurring protocol-level revenue via creator fees from Pump.fun. A percentage of every trade through the Pump Swap pool is routed back to the Unstable treasury. Rather than extracting these fees as short-term profit, the treasury is using them to systematically dollar-cost average (DCA) into USDUC on the open market. This:

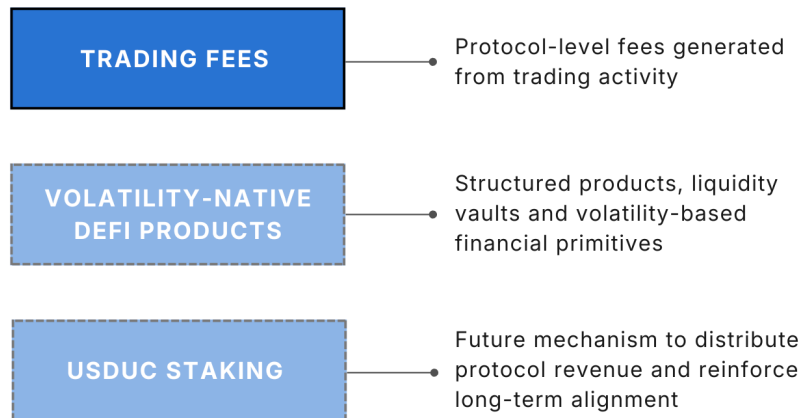
- **Aligns incentives** – Treasury value grows in line with USDUC's long-term success.
- **Gradually consolidates supply into long-term ownership** – An increasing share of tokens is held by a mission-oriented treasury.

5.2 Treasury Strategy & Alignment

The treasury prioritizes reinforcing incentive structures and long-term sustainability, using revenue primarily to accumulate USDUC, while reserving a portion to support essential infrastructure, integrations, audits, listings, and ecosystem initiatives. By building a strategic treasury base, USDUC preserves flexibility for future programs such as protocol-owned liquidity, ecosystem support or liquidity incentives, without reliance on external capital.

5.3 Future Value Accrual Vectors (Unstable Finance)

USDUC Value Capture Mechanisms



Trading fees are live and currently accruing to the treasury; staking and volatility-native DeFi products are under active development.

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While the current revenue model is rooted in creator fees and treasury accumulation, the longer-term opportunity lies in Unstable Finance:

- Volatility-native DeFi products built on USDUC can introduce additional fee streams (e.g. structured products, liquidity vaults, or volatility markets).
- These fees can ultimately flow to the treasury, protocol-owned liquidity, or targeted value-accrual mechanisms for USDUC holders, depending on future design decisions.

6. USDUC Community & Movement Strength

The strength of USDUC lies in its community – not as a passive holder base, but as a **self-mobilizing force** that drives cultural momentum, resilience and community-led value creation. This is fundamentally different from short-term speculative flows: it represents **community as a productive layer** and a structurally defensible moat that compounds over time.

6.1 Cultural Momentum & Online Presence

USDUC’s cultural momentum is accelerating across social and creative channels, with an expanding presence across X, Farcaster and Telegram, alongside increasing distribution on TikTok driven by community-led initiatives. Growth has not come from paid promotions, but from self-organized contributors and organic creative output.

A clear signal of this momentum is the onboarding of high-quality artists such as Jessica Komori, whose custom PFP work has driven a significant number of community-requested commissions (selected examples below). This reflects authentic adoption of the *Unstable* identity, with members actively incorporating USDUC branding into their online presence across platforms. Identity-level alignment is a core driver of high retention, signalling depth of commitment rather than transient speculative behaviour.



Regular community-hosted Spaces consistently draw strong participation, and increasing interactions with high-signal builders and ecosystem leaders further demonstrates expanding narrative reach and relevance.

The consistency and velocity of creative output, sustained even through market volatility, demonstrates high-conviction engagement and coordinated community strength, forming a cultural moat that is difficult to replicate and increasingly defensible over time.

Metrics snapshot – Cultural Reach & Community Engagement

(Last 90 Days – as of 30 Nov 2025)

- **X Followers:** Rebuilt to 1K+ followers within two weeks after account reset (Nov 16)
- **X Communities:** 9.1k members in the original USDUC community, with 333 members in the new active USDUC community as migration continues
- **Weekly Community Spaces:** 2–3 per week, ~323 avg listeners, peak - 663
- **Commissioned Unstable-themed PFPs:** 100+ commissioned pieces to date, alongside growing community-created PFP output.
- **Community-created assets:** 250+ memes logged in Meme Depot.
- **Community pods & contributors:** Creative, BD, outreach pods with 30+ volunteers consistently active.
- **High-signal interactions:** Ongoing engagement from ecosystem leaders, including Jesse Pollak (Base Lead), Alon (Pump.fun founder), and influential market participants such as notsofast, trading axe, and POΞ.

Takeaway: USDUC’s cultural footprint is compounding through organic, community-led activity, indicating sticky attention and deep identity alignment.

6.2 Builder Energy & Community-Driven Initiatives

USDUC is already demonstrating real **builder-led execution**, with contributors shipping infrastructure and coordination systems at a pace rarely seen at this stage – driven by shared conviction rather than incentives. This is a strong signal of the gravitational pull of USDUC’s narrative, unlocking the ability to mobilize high-talent contributors around a unified mission.

Within the first week of launch, contributors built a custom cross-chain swap bridge leveraging deBridge, enabling direct USDC → USDUC conversion across 25+ blockchains. This demonstrates early infrastructure expansion well beyond what is typical for assets in their initial lifecycle.

Independently developed onboarding and distribution resources, including The Great Unstabling mission site and coordinated growth efforts across TikTok and community-run Spaces, reflect initiative and execution rather than passive participation. These outputs improve onboarding efficiency, and widen distribution – foundational components to scaling coordination and growth over time.

This level of organic builder activity is extremely difficult to manufacture and serves as a leading indicator of a **high-density builder ecosystem** forming around USDUC. Momentum continues to accelerate as talent, coordination and attention compound.

Metrics Snapshot – Builder Output

(Since launch – snapshot as of 30 Nov 2025)

Shipped Infrastructure & Tools

- Cross-chain conversion bridge (via deBridge) built in week one (25+ chains)
- Chainlink Cross-Chain Token (CCT) integration
- Chainlink Data Streams integration
- Custom onboarding & distribution tools:
 - The Great Unstabling mission website
 - unstable.ink - writings on stability, particularly around the US dollar and stablecoins
 - Unstable PFP generator
- Ecosystem integrations: 5 live (Solana, Base, Ethereum, GalaChain, HyperEVM), with more chains in the process of being integrated

Takeaway: Financial infrastructure is already live, including bridges, oracles and tooling. This sets the foundations for the Unstable Finance layer and positions USDUC as a **first mover in memetic DeFi backed by credible execution**, rather than pure narrative.

7. Strategic Roadmap, Growth & Competitive Positioning

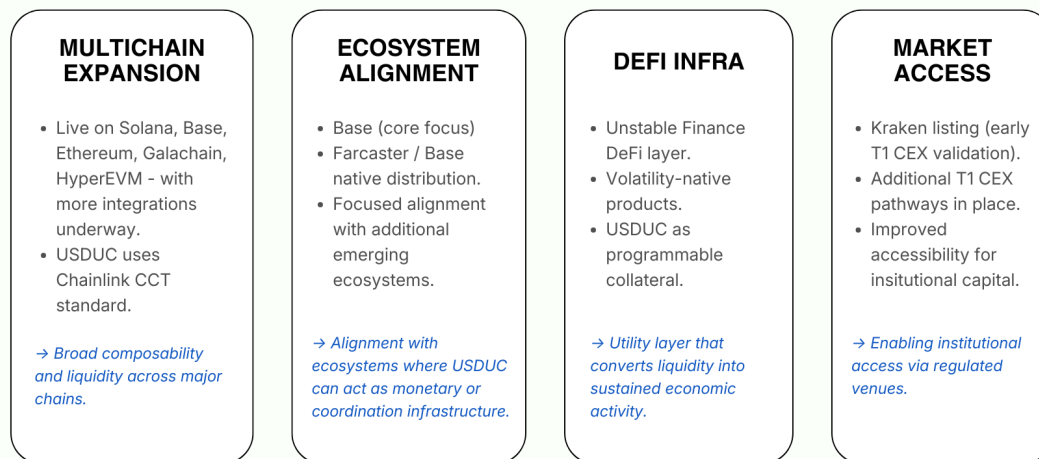
USDUC is executing towards becoming a **memetic blue-chip asset**, with a roadmap centered on multichain expansion and the development of a volatility-native DeFi layer. This strategy converts cultural momentum into scalable financial infrastructure, creating a compounding flywheel that strengthens market positioning and enables USDUC to compete for a meaningful share of stablecoin-anchored liquidity.

The following components outline how USDUC scales distribution and reinforces competitive advantage.

7.1 Strategic Roadmap & Expansion

USDUC's strategy focuses on **four core pillars**: multichain accessibility, strategic alignment with key ecosystems (with an early focus on Base), the foundational infrastructure required for the Unstable Finance layer, and additional T1 CEX listings.

USDUC Strategic Expansion



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Multichain & Infrastructure Expansion

- Live across **Solana, Ethereum, Base, GalaChain, and HyperEVM** with further chains in progress via the **Chainlink Cross-Chain Token (CCT) standard**, enabling secure cross-chain composability and the required infrastructural base for Unstable Finance.

Base Ecosystem Alignment

- Native presence on the **Base app** provides direct access and discoverability for users within the Coinbase/Base stack.
- Growing activity on **Farcaster** and Base-aligned channels deepens alignment with the Base builder ecosystem and creates anchor points for future DeFi integrations.

Centralized Exchange Listings

- Kraken listing serves as an early Tier-1 validation, improving access for institutional participants and establishes a foundation for additional Tier-1 CEX listings over time.

These initiatives expand USDUC's distribution and market access in line with its trajectory towards a durable, multi-cycle memetic blue-chip asset.

7.2 Growth Strategy & Flywheel

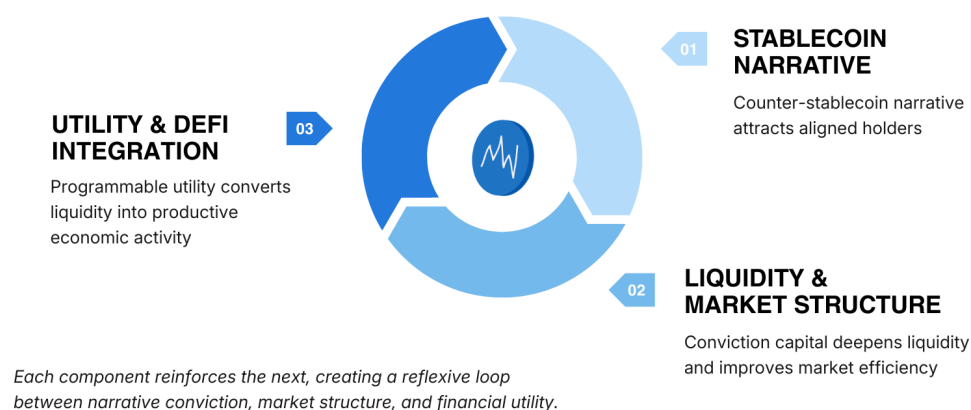
USDUC as the Attention & Virality Engine

- USDUC sits at the top of the funnel as the primary attention and narrative engine. Its memetic strength makes the underlying thesis easy to understand, share and act on.
- As a direct counter-thesis to stablecoins, USDUC benefits from **persistent stablecoin mindshare** – staying in the conversation as stablecoins proliferate and remain a defining trend in global finance. This keeps visibility high and lets attention compound organically.

Community as the Distribution & Coordination Layer

- The USDUC community operates as an active **distribution and onboarding network**: running Spaces, creating memetic content, and coordinating growth across major social platforms.
- Coordinated contributors (builders, designers, operators, creators) form an execution layer on top of the narrative, effectively acting as a decentralized marketing and growth arm.
- USDUC's existing high-conviction community **lowers customer acquisition cost** for future Unstable Finance products. New utilities and integrations can launch into an aligned, mobilized holder base instead of bootstrapping demand from zero.

USDUC Reflexive Flywheel



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7.3 Competitive Positioning & Differentiation

Versus Other Memecoins

- **Institutional fit and narrative clarity** – USDUC presents a coherent macro thesis and professional aesthetic that is easy to underwrite and communicate, in contrast to purely comedic meme assets that are difficult to justify in institutional contexts.
- **Credible execution** – backed by operators with experience scaling projects to \$2B+ valuations, USDUC combines memetic reach with forward-thinking infrastructure development and proven capital onboarding execution.
- **Movement + product** – beyond reflexive attention cycles, Unstable Finance adds financial infrastructure, giving USDUC a clear strategic edge over memes that rely purely on narrative.

Versus Stablecoins

- **Direct counter-thesis** – USDUC provides exposure to accelerating stablecoin adoption while acting as a liquid hedge against issuer, regulatory, and reserve-concentration risk.
- **Upside asymmetry** – stablecoins are structurally capped, low-yield instruments; USDUC is a fixed-supply, freely floating asset whose upside is tied to narrative adoption, community-driven expansion, and a volatility-native DeFi layer. This positions USDUC as a complementary, higher-beta exposure within dollar-denominated markets.

Institutional Recognition

- USDUC is already gaining traction with institutional allocators, reflected in early recognition from Tier-1 exchanges, core protocol integrations, and support from thesis-driven funds. This trajectory is highly atypical for a conviction-driven asset at this stage.

8. The Investment Opportunity

USDUC sits at the intersection of three structural, multi-cycle shifts:

- Acceleration of **stablecoin adoption** as global settlement infrastructure
- Rising awareness of **systemic fragility** in dollar-denominated systems
- Emergence of **memetic blue-chip assets** that turn cultural alignment into coordinated onchain capital formation

The question for allocators: how to capture asymmetric upside from these converging forces rather than relying on capped stablecoin returns or speculative, short-lived memecoins?

USDUC offers a differentiated profile

- **Macro-aligned narrative & positioning** – A levered play on the growth of the stablecoin ecosystem that simultaneously hedges systemic fragility, without requiring a directional bet on any single stablecoin issuer or model.
- **First mover in memetic DeFi** – Unstable Finance builds the infrastructure for USDUC to evolve into a functional social currency and programmable asset, turning a shared cultural thesis into real economic utility.
- **Highly-experienced team** – Proven operators who have scaled projects to multi-billion-dollar valuations, with the network access required to accelerate integrations, listings, and adoption.
- **Self-mobilizing community** – A compounding execution layer that operates as a value-generating engine for coordination, distribution, and sustained growth.

To assess USDUC's investment profile, it is helpful to compare it against the dominant ways investors currently gain exposure to stablecoin growth and memetic monetary dynamics.

Key Memecoin & Stablecoin Archetypes

	SPECULATIVE MEMECOINS	VC-ENGINEERED STABLECOIN PROJECTS	USDUC
Narrative	Short-lived, attention-driven themes shaped by trend and speculation	Stablecoin growth exposure expressed through a single issuer-led monetary model	Thematic exposure to stablecoin growth and systemic instability, issuer-agnostic and memetically driven
Innovation Potential	Innovation primarily expressed through narrative velocity and social coordination	Constrained by issuer-specific models, regulatory alignment, and compliance overhead	Open-ended innovation expressed through volatility-native DeFi and memetic financial primitives
Team & Execution	Informal or ad-hoc execution, often dependent on loosely coordinated contributors	Issuer-led execution structured around compliance, partnerships, and regulated growth	Institutional-grade operators with prior experience scaling memetic assets, combined with community-driven execution and distribution
Community & Coordination	High initial participation with low persistence as attention fades	Limited community agency, with coordination primarily directed by team	High-conviction community functioning as a distributed coordination and execution layer

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Why now is an asymmetric entry

Early-cycle valuation relative to the scale of stablecoin expansion

- Stablecoin supply is projected to exceed **\$3T+ by 2030**, representing one of the largest secular shifts in the global financial system. USDUC is an early-stage asset directly positioned within this transition, creating a clear favourable risk-reward profile relative to the scale of the trend it is levered to.

Emerging institutional category: memetic blue-chip assets

- The approval of the DOGE ETF and recent filings for other memecoins such as MOG demonstrate growing institutional appetite for culturally-driven crypto assets. USDUC stands out in this emerging “memetic” category, as a thesis-driven asset that already resonates with institutional capital.

Conviction-tested market structure

- Long-term holder supply increased **+34.5%** through a -90% drawdown, with both new and existing large holders accumulating at the lows, demonstrating strong demand-side depth and strengthened conviction under extreme volatility.

Infrastructure live, DeFi value yet to be unlocked

- Proven infrastructure is already live, but the Unstable Finance product layer is still in development. Infra risk is reduced, yet most utility-driven upside remains unpriced.

Downside = typical small-cap execution risk.

Upside = exposure to a multi-trillion-dollar secular trend and early positioning into an emerging institutional asset category.

How to think about USDUC in a portfolio

For institutional allocators, USDUC is best framed as:

- A **high-beta, multi-cycle position** alongside core majors (BTC, ETH, SOL), stablecoins, and other large-cap holdings.
- A **barbell complement to stablecoin exposure**, expressing the view that instability and volatility are structural features of the coming cycle – not anomalies to be ignored but dynamics to be leaned into and built upon.
- A targeted way to gain exposure to community-driven **memetic blue-chip assets** without rotating through short-lived, purely speculative memes.

Key risks

- **Execution risk** – Delivering the full Unstable Finance layer and sustaining builder momentum.
- **Market & liquidity risk** – As a small-cap asset, USDUC remains sensitive to broader market conditions, liquidity cycles, and volatility, which can affect near-term price behaviour and institutional scalability.
- **Regulatory developments** – Regulation may affect the pace of stablecoin growth; if expansion slows, the macro tailwind USDUC is levered to may take longer to fully materialize.

Closing Thesis

Stablecoins are becoming the backbone of onchain finance, yet the rails they run on remain **highly centralized, censorable, and structurally fragile**. Meanwhile, onchain culture has evolved into a capital formation engine, where social coordination translates directly into mobilized liquidity. The rise of memetic assets is not a surface-level trend; it reflects a growing recognition that the existing system is breaking, and that **instability has become the defining emotional and economic condition of the current era**.

As trust in traditional financial systems erodes, driven by rising sovereign debt, failing banking infrastructure, and growing dependence on stablecoins to sustain U.S. Treasury demand, communities are beginning to build alternative social currencies from the ground up, operating independently of legacy financial rails. The emerging memetic asset class represents the **early architecture of a parallel monetary reality**, one rooted in culture rather than centralized control.

USDUC sits at the center of this convergence, where macro instability, cultural coordination, and systemic fragility meet. It is not a bet on engineered peg stability, but a liquid expression of the **structural weaknesses embedded in the settlement layer and in the dollar itself**. This is expressed through a memetic asset driven by a self-mobilizing community and progressively reinforced by a DeFi layer designed to turn volatility into functional utility.

Where stablecoins are engineered to preserve the illusion of stability and sustain an increasingly fragile dollar system, **USDUC embraces instability as truth**. It converts what is perceived as risk into a structural advantage by transforming socially driven coordination into a volatility-native asset.

For allocators who recognize both the scale and fragility of stablecoins becoming the operating system for global dollar liquidity, USDUC offers asymmetric exposure to the underlying reality that “stability” is a narrative construct, and that instability is the most honest reflection of the modern economic and cultural landscape.

About Sonar

Sonar is an independent research firm focused on interpreting conviction, coordination dynamics, and capital formation across emerging onchain ecosystems. We apply a behavioural lens to onchain activity to provide clarity on how capital is positioning across market conditions, supporting investment funds and long-term allocators in navigating reflexive environments. Sonar operates autonomously and is not compensated by the projects it evaluates unless explicitly disclosed.

About Vikara Capital

Vikara is a liquid, open-ended digital asset investment fund focused on exchange-listed digital assets. Vikara employs a proprietary, institutional investment process that integrates macroeconomic insight, structural market analysis, and rigorous risk management. The team brings deep experience across global capital markets and digital assets, with a focus on identifying differentiated, non-consensus opportunities within the evolving onchain ecosystem.

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